Types of Capital in Accounting

Comprehensive Accounting & Corporate Finance Standard Reference

> **Definition:** In accounting and financial management, **Capital** represents the monetary value of funds, assets, and financial resources contributed by owners or borrowed from creditors to operate a business, meet liabilities, and generate future economic value.

1. FINANCIAL & OPERATIONAL PERSPECTIVE

This perspective categorizes capital based on its role in daily operations and business infrastructure.

A. Fixed Capital

Funds invested in long-term non-current physical or intangible assets used in operations over multiple accounting periods.

- **Examples:** Land, machinery, vehicles, patents.
- **Key Trait:** Highly illiquid, depreciated over time.

B. Working Capital

Short-term liquid capital required to meet day-to-day operational obligations and maintain solvency.

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Working Capital = Current Assets – Current Liabilities
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- **Examples:** Cash, bank balances, inventory, accounts receivable.

C. Venture / Growth Capital

High-risk funding provided by equity investors to early-stage startups with strong rapid scaling potential.

- **Source:** Angel investors, Venture Capital firms.

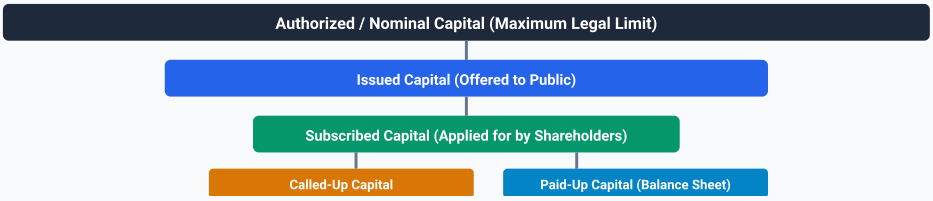
D. Human & Intellectual Capital

Non-financial assets including workforce expertise, institutional knowledge, software, and trade secrets.

- **Focus:** Modern Integrated Financial Reporting (IIRC).

2. SHARE CAPITAL HIERARCHY (CORPORATE STRUCTURE)

Structure of equity share capital in limited liability companies, as presented on the Balance Sheet:



3. DETAILED BREAKDOWN OF CORPORATE SHARE CAPITAL

Type of Share Capital	Accounting Definition	Key Feature / Treatment
1. Authorized / Nominal Capital	The maximum share capital amount a company is legally authorized to issue per its Memorandum of Association (MoA).	Upper legal boundary; requires shareholder resolution to change.
2. Issued Capital	The portion of authorized capital offered to investors and public for subscription.	Cannot exceed Authorized Capital limit.
3. Subscribed Capital	The portion of issued capital that shareholders have officially accepted and agreed to purchase.	Can be fully subscribed, over-subscribed, or under-subscribed.
4. Called-Up Capital	The portion of subscribed capital that the company has requested shareholders to pay.	Requested in installments (application, allotment, calls).
5. Paid-Up Capital	The actual net cash amount received from shareholders against called-up capital.	**Primary figure shown under Shareholders' Equity.**
6. Reserve Capital	A portion of uncalled capital set aside by special resolution, to be called only during liquidation.	Serves as a creditor safety cushion in bankruptcy.
7. Calls in Arrears	The unpaid portion of called-up capital by default shareholders.	Deducted from Called-Up Capital on Balance Sheet.

4. SOURCE & CAPITAL STRUCTURE PERSPECTIVE

Equity Capital (Owner's Funds)

Internal/owner funds raised without fixed mandatory repayment terms.

- **Components:** Common stock, Preferred stock, Retained Earnings (accumulated profits).
- **Cost:** Discretionary dividends & capital gains.

Debt Capital (Borrowed Funds)

External funds borrowed with contractual repayment schedules and fixed interest charges.

- **Components:** Debentures, bank loans, bonds, commercial paper.
- **Feature:** Mandatory repayment; tax-deductible interest.

5. SUMMARY COMPARISON MATRIX

Capital Category	Perspective	Primary Purpose	Balance Sheet Placement
Fixed Capital	Operational	Long-term infrastructure capacity	Non-Current Assets
Working Capital	Operational	Day-to-day liquidity & obligations	Current Assets – Current Liabilities
Paid-Up Capital	Corporate / Equity	Legal owner funds contributed	Shareholders' Equity
Debt Capital	Financing Structure	External financial leverage	Non-Current & Current Liabilities
Retained Earnings	Internal Source	Reinvestment of business net profit	Reserves & Surplus (Equity)